Weekly Market Updates

Week Ending 5 September 2026

Executive Summary

- **UK fiscal pressure remained the key domestic theme:** Gilt yields ended the week 11bps higher at 5.17% despite government reassurance around the fiscal rules. Higher borrowing costs are beginning to feed into mortgage pricing, while speculation is building around spending cuts and potential sector-specific taxes ahead of the Budget.
- **Geopolitical risk continued to support energy markets:** Oil rose c.2% over the week to $96/bbl as concerns increased around Iran and the security of Saudi-linked shipping routes. European gas prices also reached a three-year high, reinforcing inflation and energy-security concerns.
- **UK M&A activity remained active:** US private equity firm Veritas agreed a £1.65bn acquisition of Bodycote, continuing the recent trend of overseas buyers targeting UK-listed businesses and highlighting the relative attractiveness of UK public-market valuations.
- **African sovereign and energy developments diverged:** Senegal moved to refinance its debt before being downgraded to junk by S&P, while Uganda is preparing to begin commercial oil production by year-end, targeting c.230k barrels per day through EACOP to Tanzania

Market Metrics Dashboard

Asset Class	Benchmark	Beginning of the week	End of the week	Weekly Change
Equities	S&P 500	7,631	7,718	+1.14%
	FTSE 100	10,748	10,831	+0.77%
Fixed Income	US 10-Year	4.79%	4.78%	-1bps
	UK 10-Year	5.06%	5.17%	+11bps
Commodities	Oil ($/bbl)	94	96	+2.13%
	Gold ($/oz)	4,389	4,429	+0.91%

Key Developments

UK Macro and Rates

- **Fiscal credibility:** UK bonds initially strengthened after Prime Minister Burnham reaffirmed the government's commitment to its fiscal rules, although gilt yields subsequently moved higher and ended the week at 5.17%.
- **Mortgage pressure:** Rising gilt yields are expected to feed through into higher mortgage rates, adding further pressure to household borrowing costs.
- **Budget constraints:** Economists expect the Chancellor may need to raise additional revenue or make meaningful spending cuts despite commitments not to increase income tax, National Insurance, VAT or corporation tax. Welfare spending and the state pension triple lock are being discussed as potential areas for savings.

- **Windfall tax risk:** Additional taxes on banks and oil companies are becoming increasingly likely as the government looks for ways to finance cost-of-living support. The UK's four largest lenders have generated c.£200bn of pre-tax profits over the past five years

US Macro and Rates

- **Labour market:** Softer US private payroll data pointed to some cooling in employment and helped ease pressure on Treasury yields.
- **Fed outlook:** Trump called for lower interest rates following the latest jobs data. Unemployment remained at 4.1%, leaving the Fed balancing labour-market conditions against continued inflation concerns ahead of its September policy meeting.

Global Rates

- **Japan:** Intervention from Washington and increased scrutiny of Japan's fiscal and monetary policies contributed to a broad sell-off in Japanese government bond

M&A & UK Industrials

- **Bodycote / Veritas:** US private equity firm Veritas agreed a £1.65bn acquisition of FTSE 250-listed Bodycote.
- **UK take-private trend:** The deal follows other overseas acquisitions of UK-listed businesses, including Gamma Communications and Capricorn, continuing the trend of foreign buyers targeting UK public-market assets.
- **Valuation implication:** Continued overseas interest reinforces the view that international strategic and financial buyers are finding value in UK-listed companies relative to prevailing public-market valuations.

Energy & Geopolitics

- **European gas:** Gas prices rose to a three-year high as markets reacted to growing fears of renewed conflict involving Iran.
- **Shipping security:** South Korea prepared to deploy military forces alongside the US, UK and France after several ships carrying Saudi oil were struck, increasing concerns around the security of key energy supply routes.
- **Oil:** Crude rose from $94/bbl to $96/bbl over the week as geopolitical risk increased.
- **Gold:** Around 86 tonnes of gold were moved to London amid rising geopolitical uncertainty, while gold remained elevated at $4,429/oz at the end of the week.
- **Falklands:** Argentina's president threatened sanctions against oil companies operating near the Falkland Islands, weighing on shares in UK-listed Rockhopper Exploration.

Energy Infrastructure

- **Jackdaw:** The North Sea gas project is expected to receive approval in mid-September following a court-ordered reassessment of its climate impact. If approved, it could begin supplying UK households this winter and contribute c.6% of UK gas output at peak production.
- **Uganda:** Commercial oil production is expected to begin by year-end, targeting c.230k barrels per day. Production will be transported through EACOP to the Tanzanian port of Tanga. If targets are achieved, Uganda would become East Africa's largest oil producer.

Africa Sovereign Credit

- **Senegal refinancing:** Senegal is seeking to refinance its debt to reduce near-term payment obligations and improve debt sustainability while preserving relationships with investors.
- **S&P downgrade:** The sovereign was subsequently downgraded to junk by S&P, signalling materially higher credit risk and potentially increasing future refinancing costs.

Private Equity & Social Care

- **PE ownership:** Private equity firms own 11 of England's 20 largest fostering and children's-home providers.
- **Leverage:** The four largest providers have paid at least £250m to shareholders through interest payments since 2020, with loan rates ranging from 8–14%, increasing scrutiny of leveraged ownership structures within essential services.

Draft Notes

2nd September 2026

S&P 7631
FTSE 10748
US 10y 4.79%
Oil 94
Gold 4389
UK 10y 5.06%

Top Stories:

- UK bonds eased after PM Burnham pledged to stock to the UKs fiscal rules
- US data showed a slowdown in private payrolls which may reduce pressure on US yields
- US private equity firm Veritas agreed a bid for FTSE 250 Bodycote for 1.65bn.Tthis is another deal of overseas buyouts of UK listed industrials, with Bodycote following

suit with the likes of Gamma Communications and Capricorn. The UK is continuously allowing their national champion companies to be loss economic control when foreign investors continue to buy them.
- Windfall tax on banks and oil firms is looking increasingly likely to finance the cost-of-living crisis in the UK. The UKs four largest lenders have generated 200bn in pretax profits over the past five years

3rd September 2026

SNP 7666
FTSE 10756
US 10y 4.8%
Oil 94
Gold 4482
UK 10y 5.06%

Top Stories:
- Intervention from Washington into the Tokyo market and scrutiny of Japans fiscal and monetary policies have caused a wide sell off of Japanese bonds
- European gas prices surged to a three-year high putting pressure on bonds. Markets were reacting to rising fears of a return to a full-blown conflict involving IRan
- UK mortgage rates expected set to rise as bonds sell off drives borrowing costs
- 86 tonnes of gold was moved to London as increasing geopolitical unrest increases.
- Senegal is refinancing its debt to adjust terms to manage public-finance pressures. The government is aiming to reduce near-term payment obligations and improve debt sustainability while trying to preserve relationships with investors
- PE owns 11 of englands 20 largest fostering and childrens home providers. The four largest have paid at least 250m to shareholders in interest payments since 2020, with loan rates of 8-14%.
- Uganda to begin commercial oil production by the end of the year. the projects are expected to produce around 230k barrel per day and will be transported along the EACOP to Tanzanias port of Tanga. IF targets are met, Uganda will become the largest oil producer in East Africa. T

4th September 2026
SNP 7747
FTSE 10826
US 10y 4.76%
Oil 95
Gold 4510
UK 10y 5.17%

Top Stories:
- Argentina president warned of sanctions against oil firms operating near the Falkland Islands, which plunged the UK-listed Rockhopper Exploration shares.
- South Korea is preparing to deploy military to the Strait in coordination with the US, UK and France after several ships carrying Saudi oil were struck. This comes after

Trump threatened to reduce joint military drills, deeming them as too costly for the States.
- Jackdaw North Sea project is expected to be approved mid-September after a court-ordered reappraisal of climate impacts. If approved, this could allow gas to flow to UK homes this winter, aiming to contribute about 6% of UK gas output at peak production

5th September 2026
SNP 7718
FTSE 10831
US 4.78%
Oil 96
Gold 4429
UK 10 5.17%

Top Stories
- Trump calls for interest rate cut after job figures rose above the forecast. Unemployment rate remained at 4.1% which increase the possibility the FED will tighten policy in their September meeting as inflation worries rise.
- Economists say the chancellor may have to raise taxes or make significant spending cuts ahead of his next budget despite him pledging not to raise income tax, NICs, VAT or corporate tax. Hints lead to a cut in the welfare bill and state pension triple lock as a saving mechanism
- Senegal credit rating has been downgraded to junk by the S&P, signalling materially higher sovereign credit risk.